REPORTABLE (108)

(1) NEIL PADMORE (2) CORALIE PADMORE
v
(1) BERNARD GWARADA (2) JIM KADZIYA (3) HAAGAI TOGAREPI KADZIYA (4) MUNICIPALITY OF KARIBA (5) SHERIFF OF ZIMBABWE

SUPREME COURT OF ZIMBABWE
GWAUNZA DCJ, MATHONSI JA & MWAYERA JA
HARARE: 24 JULY 2025 & 27 NOVEMBER 2025

T. Mpofu, for the appellants

T. Magwaliba, for the first respondent

No appearance for the second to fifth respondents

MWAYERA JA:

INTRODUCTION

1. This is an appeal against the whole judgment of the High Court ("court *a quo*"), upholding the first respondent's application for a *declaratur* and ancillary relief in terms of s 14 of the High Court Act [*Chapter 7:06*] as read with r 59(1) of the High Court Rules, 2021.

FACTUAL BACKGROUND

2. The first appellant, Neil Padmore, is a male adult whereas the second appellant, Coralie Padmore is a female adult, both with the capacity to sue and be sued. The first respondent, Bernard Gwarada, is a male adult and business man. The second respondent is Jim Kadziya, a male adult, who at all material times had personal rights in Stand 1015 Kariba Heights, Kariba Township measuring 3515 square meters ("the stand"). The third respondent is Haagai

Togarepi Kadziya a male adult who acted as a duly appointed agent of the second respondent with regard to the stand. The fourth respondent is the Municipality of Kariba, a local authority, and body corporate duly established in terms of (Part II,) s 4 of the Urban Councils Act [*Chapter 29:15*]. The fifth respondent is the Sheriff for Zimbabwe, cited in his official capacity.

3. On 16 May 2008, the second respondent was offered the stand by the fourth respondent. The said parties entered into an agreement of sale of the stand sometime in October 2008. In March 2009, the second respondent then resolved to sell the stand and he appointed his son, the third respondent, as his agent. According to the first respondent, on 12 March 2009, the third respondent acting as the agent of the second respondent executed an agreement of sale of the stand for a purchase price of USD5 500.00. The first respondent paid the said sum of money in instalments of USD 4 500.00 cash on 17 March 2009, USD 700.00 cash on 22 April 2009 and USD300.00 cash on 5 May 2009.

4. Clause 1 of the agreement stated that transfer of the property would take place by way of cession only after the first respondent had undertaken development of the stand, up to window level as required by the Urban Councils Act. The first respondent engaged the fourth respondent for the approval of his building plans of a hospitality and accommodation business. The building plan was initially approved in 2010, renewed in 2013 and finally approved on 7 April 2022 thereby enabling the first respondent to proceed with construction. The first respondent then engaged contractors who began making preparations for development on the stand.

5. However, on 29 April 2022, the first respondent was informed that the appellants were alleging that they had already purchased the same stand from the second respondent and taken cession of the same in 2021. The first respondent then filed a police report of fraud against the second

and third respondents on 1 May 2022. The first respondent set up a meeting with the appellants and the second and third respondents to discuss the alleged double sale. However, the second and third respondents did not attend the meeting.

PROCEEDINGS BEFORE THE COURT *A QUO*

6. The first respondent filed an application for a *declaratur* and ancillary relief in terms of s 14 of the High Court Act [*Chapter 7:*06] as read with r 59(1) of the High Court Rules, 2021, under HC 3917/22, before the court *a quo*. The first respondent's main contention was that he was the rightful owner of the stand and that the sale of the same stand to the appellants was fraudulent and as such a legal nullity. He sought that the agreements of sale and cession between the second respondent and the appellants be declared null and void.

7. In opposing the application, the appellants contended that they obtained personal rights from the second respondent in relation to the stand by way of a cession. According to the appellants, the stand was being used as a rubbish dump site and they approached the fourth respondent who advised them that it was an available vacant stand. The appellants alleged that on 5 October 2021, they contacted the second respondent, registering their interest in the property, and they were advised that he could sell his rights with the approval of the fourth respondent.

8. According to the appellants, the second respondent approached the fourth respondent for an extension of the building period, which was granted on 8 October 2021. Thereafter, a cession agreement between the appellants and the second respondent was executed on 19 October 2021. On 4 November 2021, the cession agreement was approved by the fourth respondent after the appellants had fulfilled the conditions set out therein. As a result, the appellants took occupation of the stand and started to work on it.

9. According to the appellants, the first respondent's claim was not recognized at law and his claim could not supersede the cession of personal rights from the second respondent to the second appellant. The reasoning by the appellants was that the agreement of sale relied upon by the first respondent was a nullity because the second respondent did not and could not legally own the stand in question. The appellants argued that the second respondent could only cede his personal rights and the first respondent's claim could not be sustained as he had no cession agreement.

10. Furthermore, in opposing the application the second and third respondents asserted that the first respondent had waived his rights by paying the purchase price for the stand in installments instead of paying the same in full upon signing the agreement. They contended that the agreement of sale between them and the appellants was valid, and that the second respondent had transferred rights to the appellants through a cession agreement. They contended that the proof of payment relied upon by the first respondent did not bear their signatures to certify acknowledgement. They further averred that the first respondent was put in *mora* several times, and that he made undertakings to fulfil his contractual obligations of paying the full purchase price but failed to do so. They argued that the first respondent had also failed to comply with clause 1 of their agreement and thus a cession agreement could not be effected,

11. In opposing the application, the fourth respondent fourth respondent averred that the first respondent had failed to demonstrate any wrongdoing on its part, warranting it to be liable for the order sought against it. It averred that under Clause 19 of the agreement, the second respondent was not allowed to cede or assign his rights without prior written consent from it. According to it, the agreement between the first respondent and the second respondent was a

nullity as its consent was not sought. The fourth respondent also averred that the first respondent could not erect a building for hospitality and accommodation purposes, as Clause 9 of the initial agreement stated that the stand would be used for residential purposes only. It argued that the appellants and the second respondent followed all the requisite procedures warranting it to effect the cession.

FINDINGS OF THE COURT *A QUO*

12. In its judgment, the court *a quo* held that the agreement of sale between the first and second respondents was extant and valid because there was no cancellation of the agreement. It held that it was incorrect to hold that the stand belonged to the fourth respondent because the stand had been sold to the second respondent. Further it opined that in terms of Clauses 7 and 8 of the agreement between the second and fourth respondents, risk and profit in the property, as well as possession all passed to the first respondent on signature of the sale agreement. According to the court *a quo*, Clause 13 of the agreement between the first and second respondents provided for the steps to be followed for cancellation of the agreement and no evidence had been placed before it to demonstrate that the second and third respondents followed those steps. The court held that the arguments by the appellants that the agreement between the first and second respondents was null and void because it was referenced as an agreement of sale as opposed to agreement of cession and for want of the consent or approval of the fourth respondent lacked merit.

13. Furthermore, the court held that the agreement between the first and second respondents was valid. It also held that the second respondent no longer held any rights, title or interest in the stand because he had sold them to the first respondent. As a result, the court granted the

application with costs on a higher scale for the reason that the dishonest conduct of the second respondent had resulted in the parties incurring unnecessary expenses and being put out of pocket.

PROCEEDINGS BEFORE THIS COURT

14. Aggrieved by the judgment of the court *a quo*, the appellants noted the present appeal on the following followin grounds of appeal:

GROUNDS OF APPEAL

1. There having been a dispute as to whether first respondent had fully performed in terms of his agreement with the second respondent, the court *a quo* erred in effectively granting specific performance without resolving that material issue and erred at any rate in affording relief where the first respondent had not prestated in terms of the agreement. (sic)
2. Alternatively, the court *a quo* erred in not concluding that there was a material dispute of fact over the question of the first respondent's prestation which was as such could not be resolved on affidavit evidence. (sic)
3. The agreement between the municipal authority and second respondent having been subject to a condition which had not been fulfilled in the agreement between first and second respondent, the court *a quo* erred in concluding that first respondent had rights to enforce.
4. The court *a quo* erred in not concluding that the question of the balance of equities did not arise since the appellants had already taken title.

5. Alternatively, first respondent having failed to plead any equities in his favour and all such equities having indisputably been in appellants' favour, the court *a quo* grossly misdirected itself in preferring first respondent's contract over that of the appellants'.
6. The court *a quo* erred at any rate in setting aside appellants' agreement at the suit of a party with no contractual privity and contrary to the position of the law governing double sales. (sic)

RELIEF SOUGHT

FURTHER TAKE NOTICE THAT, appellants seek the following relief;

1. That the appeal is allowed with costs.

2. That the judgment of the court *a quo* is set aside in its entirety and in its place is substituted with (sic) the following:

> "The application is dismissed with costs at the higher scale of legal practitioners and client."

SUBMISSIONS BEFORE THIS COURT

15. Mr *Mpofu*, for the appellants, submitted that in double sales the general rule that first purchasers, hold superior rights where transfer has not been passed as stated in the case of *Guga* v *Moyo & Ors* 2000 (2) ZLR 458 (S), is subject to an exception. He pointed out that the exception to the general rule is on the existence of the balance of equities. He further submitted that the first respondent in the founding affidavit did not argue that the balance of equities was in his favour. Counsel submitted that the balance of equities favoured the appellants for the following reasons; the appellants were in occupation of the stand, the first respondent failed to undertake any developments on the stand from 2009, the appellants stood to lose more as they had developed the stand, the first respondent could be reimbursed his

purchase price, the appellants had paid taxes as required by law and they had further obtained the consent of the local authority as required in the original agreement, which the court aquo relied on in its disposition. According to Mr *Mpofu*, the court *a quo* did not address all these issues and thus limited the factors which were in favour of the appellants.

16. Counsel further submitted that the court *a quo* erred in finding that there was fraud committed by the second and third respondents. He argued that at the time the appellants and the second and third respondents entered into the agreement of sale, the contract between the second and third respondents and the first respondent had been cancelled. It was also his further submission that before the court *a quo*, the second and third respondents pleaded that the agreement of sale they had entered into with the first respondent had been cancelled verbally and the first respondent had abused their names by tendering plans and payments in their name. He submitted that the alleged fraud which the court aquo relied on in its disposition had not been specifically pleaded and proven by the first respondent.

17. Further, he submitted that the court *a quo* could not grant a *declaratur* because there was a material dispute of fact over the question of the first respondent's prestation which could not be resolved on affidavit evidence. He submitted that in terms of s 14 of the High Court Act, the exercise of the power of the court *a quo* is permissible where there are no material disputes of fact because the court cannot declare a fact rather, it declares rights. Counsel also submitted that the court *a quo* erred in declaring the appellants' contract as invalid. According to counsel, in double sales, the validity of the first agreement does not invalidate the second agreement.

18. *Per contra*, Mr *Magwaliba,* for the first respondent, submitted that the court *a quo* was correct in finding that fraud was committed upon the appellants. Counsel submitted that the second and third respondents did not competently cancel their agreement of sale with the first respondent. He further submitted that there was no evidence before the court *a quo* that the cancellation of the agreement had been done in terms of the contract between the parties.

19. He contended that the second and third respondents could not sell the stand to the appellants as the first respondent had performed his obligations in terms of the agreement by paying the purchase price. Counsel argued that the appellants could not argue on behalf of the second and third respondents as the second and third respondents had decided not to appeal. His submissions on this aspect were anchored on the fact that the appellants in their opposing affidavits had admitted that they were not privy to the details of the agreement between the first respondent and the second and third respondents.

20. Further, he submitted that there was never an allegation of breach or cancellation of the agreement between the first respondent and the second and third respondents. Following an engagement with the court, on fraud, Mr *Magwaliba* submitted that in the first respondent's founding affidavit, fraud was established and proven. He averred that the fraud was in the state of mind of the second and third respondents when they entered into another agreement of sale with the appellants.

21. He also argued that the issue of the balance of equities is at the discretion of the court and the appellants ought to have pleaded that the exercise of such discretion by the court *a quo* was outrageous. According to counsel, the *onus* was on the appellants to establish that the balance of equities favored them as opposed to the first respondent. He submitted that the issue that

the stand was being used as a dumping site was irrelevant as the stand could be occupied without a physical appearance.

22. He further submitted that after purchasing the stand, the first respondent could not develop it subject to the conditions in the agreement between the second and fourth respondents. He further submitted that the second and third respondents had failed to adduce evidence to controvert the receipts produced by the first respondent that he had paid the full purchase price.

ISSUES FOR DETERMINATION

23. Three issues arise for determination in this case:

    1. Whether or not the first respondent had fully performed his obligations in terms of his agreement with the second respondent.

    2. Whether or not the first respondent could enforce his rights over the contract between him and the second respondent.

    3. Whether or not the question of the balance of equities arose in the circumstances.

APPLICATION OF THE LAW TO THE FACTS

1. Whether or not the first respondent had fully performed in terms of his agreement with the second respondent.

24. The first and second grounds of appeal raise the same issue for determination. They will therefore be dealt with under this issue. In respect of the first ground of appeal, the appellants make the contention that the court *a quo* erred in granting specific performance without resolving the material dispute of whether the first respondent had fully performed his obligations in terms of his agreement with the second respondent.

25. The appellants make the averment that the agreement between the first and second respondent had been cancelled due to the failure by the first respondent to pay the purchase price in full. The appellants argue that the court *a quo* erred by finding that the second respondent had committed a fraud.

26. On the other hand, the first respondent avers that the appellants are not involved in the dispute. Rather, that the dispute is between himself, and the second and third respondents. According to the first respondent, the appellants cannot argue on behalf of the second and third respondents as they are not privy to what took place between himself and the second and third respondents. In addition, he avers that in any event, the agreement between him and the second respondent was not validly cancelled as the second respondent had failed to communicate the cancellation of the agreement.

27. It is trite that a party cannot argue on the terms of a contract which he or she was not a party to. This principle has enunciated in many cases in this jurisdiction. In the case of *Buwu & Anor* v *Village Inn (Pvt) Ltd & Ors*; *Buwu & Anor* v *Folay Investments (Pvt) Ltd & Ors* SC 112/23. At p 18, this Court cited with approval the case of *TBIC (Pvt) Ltd & Anor* v *Mangenje & Ors* 2018 (1) ZLR 137 (S) at 144C-E, wherein it was held that:

> "That conclusion of law renders both appellants strangers to the contract between the acquiring authority and the respondent. This brings us to the doctrine of privity of contract. That doctrine restricts the enforcement of contractual rights and remedies to the contracting parties, to the exclusion of third parties. Innocent Maja the *Law of Contract in Zimbabwe* at p 27 para 1.5.3 graphically explains the doctrine as follows:
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> > 'The doctrine of privity of contract provides that contractual remedies are enforceable only by or against parties to a contract, and not third parties, since contracts only create personal rights. According to Lilienthal, privity of contract is the general proposition that an agreement between A and B cannot be sued upon by C even though C would be benefited by its performance. Lilienthal further posts that privity of contract is premised

> upon the principle that rights founded on contract belong to the person who has stipulated them and that even the most express agreement of contracting parties would not confer any right of action on the contract upon one who is not a party to it.'"

28. In light of the foregoing, the doctrine of privity of contract dictates that only those who are parties to a contract may derive rights or bear obligations under its terms. A third party, even if intended to benefit from the agreement, cannot enforce its provisions nor be held liable for its breach. The rights and obligations arising from a contract are confined exclusively to the contracting parties. Accordingly, a third party lacks the *locus standi* to sue for breach of contract or to be sued thereunder where it was not a party.

29. However, in this case the appellants derive their rights from their own agreement with the second respondent, which was entered into and approved by the local authority. This was after cancellation of the earlier agreement. They, just like the seller, were within their rights to rely on the cancellation so as to protect their interests. The failure by the second and third respondents to raise a particular argument does not preclude the appellants from doing so, where such argument bears materially on the issues before the Court.

30. It must also be noted, in this case that in this case `the appellants possess a direct and substantial legal interest in the outcome of the matter, and their submissions are properly before the court. Accordingly, the assertion by the first respondent that the appellants are impermissibly advancing arguments on behalf of the second and third respondents is without merit and cannot be sustained.

31. Before the court *a quo*, the second and third respondents alleged that the first respondent had breached the agreement of sale by failing to comply with the instalment payment obligations. As a result, they elected to cancel the agreement. Clause 13 of that agreement expressly provides that, in the event of a breach by any of the parties, and a failure to remedy the same within seven days of receiving written notice, the aggrieved party may unilaterally cancel the agreement and claim damages.

32. It is trite that cancellation of a contract is a unilateral act which does not require the consent or concurrence of the defaulting party. In *Mwayera* v *Chivizhe & Ors* 2016 (1) ZLR 15 (S) at 21 D it was stated that:

> "It is trite that cancellation is a unilateral act which takes effect as at the time of its communication to the other party to the contract. It requires no concurrence from the party receiving notification of the same."

Upon the first respondent's failure to pay the purchase price in accordance with the terms of the agreement, the second and third respondents were lawfully entitled to exercise their right of cancellation. Provided that such cancellation was duly communicated to the first respondent, there was no legal requirement for the latter to consent to or agree with the cancellation. Unilateral cancellation, once properly effected, is valid in law. In such circumstances, the first respondent's sole remedy lies in a claim for restitution of the amount paid against the second and third respondents. In view of the material disputes which included the issue of payments the court *a quo* had no basis for which to grant a declaratory order. To that extent therefore the first ground of appeal has merit.

33. Turning to the second ground of appeal, the appellants submit that the court *a quo* erred in failing to find that a material dispute of fact existed concerning the question of the first

respondent's prestation, specifically, the payment of the purchase price, which could not, in their view, be adequately determined on the basis of affidavit evidence alone. The appellants argue that the matter ought not to have been resolved without the benefit of *viva voce* evidence.

34. Conversely, the first respondent maintains that no prejudice was suffered by the appellants as a result of the court *a quo's* decision to determine the matter on the basis of the affidavits and documentary evidence before it. According to the first respondent, the dispute raised by the appellants falls outside their personal knowledge, given that they were not privy to the timing or manner in which the purchase price payments were made.

35. The core submission advanced by the second and third respondents was that the agreement was lawfully cancelled on the basis that the purchase price had been paid in instalments, contrary to the contractual requirement for full payment on the date of signing. In the result, the second ground of appeal which is linked to the first ground has merit.

2. Whether or not the first respondent had rights to enforce.

36. In the third ground of appeal, the appellants aver that the court *a quo* erred in concluding that the first respondent had rights to enforce over the contract between the first respondent and the second respondent. The basis of the argument by the appellants is that the agreement between first and second respondents did not fulfill the condition under Clause 19 of the agreement between the second and fourth respondents.

37. *Per contra*, the first respondent contends that the appellants are attempting to litigate on behalf of the fourth respondent when the issue of Clause 19 does not apply to them. The first respondent avers that the clause is not a condition precedent in a different agreement that was concluded between him and the second respondent. It is his contention that the subsequent

agreement between him and the second respondent contains no condition precedent. However, it contains a non-variation clause which specifies that none of the parties to the agreement is permitted to read into the contract any term or condition other than the terms and conditions specifically mentioned in the written document.

Clause 19 of the agreement of sale between the second and fourth respondent stated as follows:

> "The purchaser shall not cede or assign his rights or obligations under this agreement nor part with possession of the said property or any part thereof without the seller's consent in writing and on the conditions stipulated therein."

In terms of the above-mentioned clause, the second respondent could neither cede nor assign his rights under the agreement without the fourth respondent's consent in writing.

38. The position was clearly spelt out *Magwenzi* v *Chamunorwa & Anor* 1995 (2) ZLR 332 (S) at p 335G EBRAHIM JA in passing the decision in *Chikonyora* v *Pedzisa* 1992 (2) ZLR 445 (S), wherein the Supreme Court held that a cession between the registered tenant and a prospective purchaser of rights in respect of a municipal property, is invalid if the prior written consent of the municipality concerned is not obtained, as such, a cession fails to comply with a contractual formality, stated as follows:

> "The agreement in Pedzisa's case *supra* was described as 'invalid', because it had failed to comply with a contractual formality. *Kelly* v *Wright* 1948 (3) SA 552 (A) was cited as authority for that statement. With respect, Kelly's case *supra* appears to relate to a situation where as a matter of statutory law the consent of an official was required before a certain property could be leased. Without that consent, the lease was illegal. I would respectfully agree with the position that the present situation was not one where purported sale was invalid because of failure to comply with the requirement to get the Municipality's consent it was in my view, a sale that was unenforceable. The plaintiff could not have obtained title from the first defendant, who did not have title to transfer. The Municipality could have decided to cancel the agreement between themselves and the first defendant and obtained the ejectment of the plaintiff. But none of those events occurred. The first defendant allowed the plaintiff to remain in occupation until a time when the sale became enforceable."

39. In *Mukarati* v *Mkumbu* 1996 (1) ZLR 212 (S), at 214H, faced with the same situation as the present, the Court had this to say:

> "I think the real position with these arrangements is this:
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> In terms of her agreement with the Council, the defendant cannot cede title to the property without the Council's consent. This means that she cannot, without the council's consent contract to pass title to the property, because she has no title to pass. But this does not mean that she cannot contract to sell the property. It would, I think, be legally possible for her to enter into a contract of sale, conditional on the Council granting its consent. (In this case, Council does not object to the sale). She should be taken to be aware of the terms of her contract with the Council. Knowing that she is not entitled to pass ownership without the Council's consent, if she enters into a contract under which she purports to sell the property, then either:-
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> (a) she has acted fraudulently, by misrepresenting that she has title when in fact she has not; or
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> (b) she has impliedly agreed that she will seek the Council's consent.
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> There is no suggestion of fraud in this case. Consequently, while the would-be buyer cannot force the seller to pass title or even to give him occupancy, he is not without remedy. One thing he can do is claim the return of any purchase price paid and the cost of any improvements made. It would also, in my view, be reasonable to hold that a contract of this nature is a conditional one, with an implied term that the sale is subject to the approval of the Council. If the traditional officious bystander had said to the parties: -You know that the seller will need to apply to the Council for its consent to the transfer, they surely would have said: -Yes, of course that is what she will do. This would cast a duty on the seller to seek the Council's approval. If she failed to do so, she could be compelled to, though the Council could not be compelled to give its approval. If the Council gave its approval, the transfer could take place. If the Council declined to give approval, the contract would be unenforceable until such time as the seller was in a position to pass title. The buyer would then have to elect either to seek restitution or to wait until transfer could be effected by the seller. "

40. Upon consideration of the relevant case authorities, it is evident that while the second respondent was competent to enter into an agreement of sale, he could not lawfully pass title of the stand without obtaining the prior consent of the fourth respondent. Clause 19 of the agreement between the second and fourth respondents did not prohibit the sale of the stand

perse. However, it expressly required the approval of the fourth respondent for the cession of any rights therein.

41. It is common cause that the agreement of sale between the appellants and the second respondent was executed in compliance with the requirements set out in Clause 19, whereas the second respondent's agreement with the first respondent failed to meet those requirements. Accordingly, any transaction not concluded in accordance with Clause 19 was null and void *ab initio.* As previously indicated, the appropriate remedy available to the first respondent lies in a claim for restitution against the second respondent. In the circumstances, the appellants' third ground of appeal is well-founded and the appeal ought to succeed on that basis.

3. Whether or not the question of the balance of equities arose in the circumstances.

42. The fourth and fifth grounds of appeal address the question of equites. The appellants aver in their fourth ground of appeal that the question of the balance of equities did not arise since they had already taken title. Regarding the fifth ground of appeal, the appellants avow that the first respondent having failed to plead any equities in his favour, the court *a quo* erred by upholding his contract over that of the appellants'.

The appellants' argument is that the first respondent did not plead on the balance of equities, either in the founding affidavit or in the heads of argument. The appellants contend that the first respondent could not enforce his supposed rights as first purchaser. The reason proffered by the appellants is that they obtained a cession agreement after concluding an agreement of sale with the second respondent and the fourth respondent consented to the same. According to them, the court *a quo* erred in finding that the balance of equities favoured the first

respondent. They contend that the court *a quo* should not have determined an issue which was not before it.

43. Further, the appellants aver that the balance of equities favoured them as opposed to the first respondent. They aver that the court *a quo* erred by relying on forged documents produced by the first respondent. In essence, the appellants contend that there was no fraud committed by the second respondent as held by the court *a quo*.

44. On the contrary, the first respondent avers that the court *a quo* weighed the equities and was correct in finding in his favour. He contends that the court was correct in finding that the second and third respondents committed fraud on him thereby upholding his contract over that of the appellants. The first respondent contends that the fifth ground of appeal seeks to treat this Court as a court of first instance as it invites it to exercise the evaluation of equities which are claimed to be in favour of the appellants.

45. A perusal of the record reveals that the court *a quo* was confronted with a classic case of a double sale. It is not in dispute that the second and third respondents initially sold the stand to the first respondent and subsequently to the appellants. While the second and third respondents contended that the agreement of sale with the first respondent had been cancelled, no cogent evidence was placed before the court to substantiate this assertion. The alleged cancellation remains unproven.

46. The first respondent's primary submission before the court *a quo* was that his agreement of sale preceded that of the appellants, and thus, he held superior rights to the property. Conversely, the appellants relied upon a subsequent agreement of sale and a duly executed cession agreement entered into with the second respondent. The law on double sales is fairly

settled, in this regard see the case of *Guga* v *Moyo & Ors* 2000 (2) ZLR 458 (S) wherein the court stated as follows:

> "The basic rule in double sales where transfer has not been passed to either party is that the first purchaser should succeed. The first in time is the stronger in law. The second purchaser is left with a claim for damages against the seller, which is usually small comfort. But the rule applies only in the absence of special circumstances affecting the balance of equities".

47. In light of the above-mentioned case, where there is a double sale and transfer has not been passed courts are inclined to follow the principle that the first purchaser should succeeds. This is however subject to exceptions, in situations where there are no special circumstances affecting the balance of equities. *In casu*, the appellants and the second respondent had a cession agreement wherein the second respondent transferred his personal rights in the stand with the consent of the fourth respondent. The balance of equities and circumstances of the matter favour the appellants.

48. As aforementioned, the appellants aver that the balance of equities favoured them as opposed to the first respondent. What constitutes balance of equities was discussed in *Chamwaita & Anor* v *Muchengeti* SC 78/22 on p 15, where this Court stated as follows:

> "[31] What constitutes the balance of equities is incapable of a precise definition but what is clear from the application of the principle in various cases is that the totality of the proved facts must establish special circumstances which would render it inequitable to apply the *qui prior est tempore potior est jure* maxim. In simple terms the maxim means that he who is first in time is first in right or one who is prior in time has a superior right in law. In the absence of such equities the first purchaser would have a right to the remedy of specific performance. Whether the established facts constitute a balance of equities involves the exercise of discretion on the part of the trial court.
>
> [32] Some of the considerations taken into account by the courts in this country include the following:
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> - That the second purchaser was an innocent purchaser.

- That the first purchaser had failed to register a *caveat* against the property although she had become aware that the seller was exhibiting intentions to sell the property to another person.
- That the second purchaser had expended more money overally than the first purchaser.
- That the second purchaser was already in lawful occupation and the first was not - *Guga* v *Moyo, supra* at 460 C-E.
- That the second purchaser had demonstrated more zeal and enthusiasm towards developing the property as required by the local authorities whereas the first purchaser had not done anything despite having purchased the property-*Dube* v *Mpala &Ors HB* 116/05
- That one of the competing purchasers had stayed at the property for a long time and had paid all the charges levied by Council on the property - *Ndidzano* v *Gondora* & Ors HH 65/2011."

49. *In casu*, the appellants were bona fide purchasers for value who acquired the stand without any knowledge of the prior agreement of sale between the first and second respondents. According to the first respondent, the cession of rights under the initial agreement was contingent upon the erection of a structure up to window level which condition was never fulfilled. It is further noteworthy that the first respondent purchased the stand in 2009 for USD 5,500.00 which he paid in instalments contrary to the agreement. Whereas the appellants acquired the same property in 2021 for a significantly higher amount of USD 35,150.00. In addition, the appellants expended further resources towards the development of the stand.

50. Upon conclusion of the agreement of sale and with the consent of the fourth respondent in terms of Clause 19, the appellants took immediate occupation of the property, secured a cession agreement, cleared the land, planted trees, and employed labour for the development. These actions reflect a demonstrable commitment to improving the stand- commitment that was not mirrored by the first respondent, who, despite being the initial purchaser, took no meaningful steps towards development.

In light of these considerations, it is apparent the balance of equities favoured the appellants. Therefore, the court *a quo* erred in its findings by setting aside the appellants' contract. Grounds of appeal four, five, and six are accordingly meritorious and ought to succeed.

DISPOSITION

51. Given the above, the court *a quo* erred in holding that the agreement between the first and second respondents was valid, when there was a cancellation of the agreement. It ought to have considered that an agreement can be cancelled at the instance of one party, without any need for concurrence of the other. Further, the court failed to take into consideration Clause 19 of the agreement, which barred the cession of the rights to the land without the consent of the fourth respondent. It further erred in not considering that the balance of equities favoured the appellants. In that regard, the decision of the court *a quo* ought to be vacated.

Regarding costs, there is no reason to depart from the general rule that costs follow the result.

Accordingly, it is ordered that:

1. The appeal be and is hereby allowed with costs
2. The judgment of the court *a quo* is set aside and substituted with the following:

"The application is dismissed with costs."

GWAUNZA DCJ : I agree

MATHONSI JA : I agree

Mawere Sibanda, appellants' legal practitioners.

Muhonde Attorneys, 1st respondent's legal practitioners.

E. Gijima Attorneys, 2nd & 3rd respondents' legal practitioners.

Moyo Chikono & Gumbo, 4th respondent's legal practitioners.